

ACC250: Intro to Financial Accounting
Ch4. Adjustments & Financial Statements

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Learning Objectives

- Separate OPEX from CAPEX and record depreciation.
- Prepare deferral and accrual adjusting journal entries.
- Build the adjusted trial balance and the financial statements.
- Close the books and prepare a post-closing trial balance.

Table of Contents

- 1 Recall: Cost Principle and Matching Principle
- 2 OPEX vs CAPEX
 - Two Types of Expenditures: OPEX and CAPEX
 - Depreciation for CAPEX
- 3 Deferral Adjustments
- 4 Accrual Adjustments
- 5 Illustration - Noodlecake
 - Previous Transactions (Ch2 and Ch3)
 - Adjusting Journal Entries (Deferrals)
 - Adjusting Journal Entries (Accruals)
 - T-accounts
 - Adjusted Trial Balance
 - Financial Statements
 - Closing Process
 - Post-Closing Trial Balance
- 6 Conclusion of the Process

Cost Principle

Assets are initially recorded at their **acquisition cost**, which includes all costs necessary to acquire the asset and prepare it for its intended use.

Implications for long-term assets (e.g., Property, Plant, and Equipment (PPE)):

- When paying cash for PPE, it is **not an expense**, but an **asset**.
- PPE is recorded at their **acquisition cost**.

EX. Buying equipment for \$10M that will be used for 5 years. No residual value. Prepare the journal entry on the purchase date.

Purchase date:

_____	_____
_____	_____

Matching Principle

- Expenses should be recognized in the same period as the revenues they help to generate, regardless of when cash is paid. In other words,
- Expenses should be recognized when the resources are used up to generate the revenues.

Two separate questions for every expenditure:

- When is the cash paid?
- When is the resource used up? – this is when the expense is recognized.

Recall: Matching Principle (Ch3) – Supplies

EX. ABC corp. paid \$2K cash for supplies in January and used them all in February.
Prepare the journal entries required at the end of each month.

January:

_____	2K
_____	2K

February:

_____	2K
_____	2K

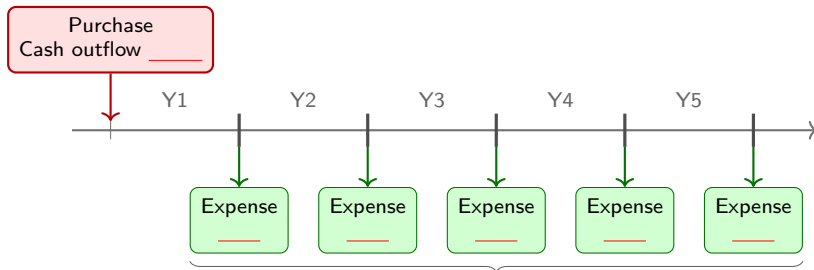
Expense is recognized in February (supplies used up), not in January (cash paid).

Recall: Matching Principle (Ch3) for Long-Term Assets

Implications for long-term assets (e.g., Property, Plant, and Equipment (PPE)):

- When paying cash for PPE, it is **not an expense**, but an **asset**.
- The cost of PPE is allocated over its useful life (i.e., depreciation).

EX. Buying equipment for \$10M that will be used for 5 years. No residual value.



Expense is recognized at the **end of each year**, as the equipment is used up.
Total expense over 5 years = _____ = the cash paid at purchase.

Table of Contents

- 1 Recall: Cost Principle and Matching Principle
- 2 **OPEX vs CAPEX**
 - Two Types of Expenditures: OPEX and CAPEX
 - Depreciation for CAPEX
- 3 Deferral Adjustments
- 4 Accrual Adjustments
- 5 Illustration - Noodlecake
 - Previous Transactions (Ch2 and Ch3)
 - Adjusting Journal Entries (Deferrals)
 - Adjusting Journal Entries (Accruals)
 - T-accounts
 - Adjusted Trial Balance
 - Financial Statements
 - Closing Process
 - Post-Closing Trial Balance
- 6 Conclusion of the Process

What is Expenditure?

Expenditure

- The outflow of cash (or assets) to settle a liability or acquire goods and services.
 - Mostly, it is a **cash outflow**.
 - Examples include:
 - ① paying utilities
 - ② paying cash to suppliers
 - ③ buying equipment
-
- Expenditure might **NOT** be an expense given the matching principle.
 - Check if the expenditure is used to generate revenues in the **same period**.
 - ① If it is, then it is an **expense**.
→ **Operating Expenditure (OPEX)**
 - ② If it is not, then it is an asset as it will be used to generate revenues in the future.
→ **Capital Expenditure (CAPEX)**

Operating Expenditure (OPEX)

Expenditure that is used to operate the business.

- Recurring costs that are used to operate the business.
- Examples:
 - ▶ Salaries and wages paid to employees
 - ▶ Rent for business premises
 - ▶ Utility bills (electricity, water, etc.)
- Accounting rule: Expense the OPEX immediately.

Capital Expenditure (CAPEX)

Expenditure that is used to acquire long-term assets.

- Investments in long-term assets that provide long-term benefits.
- Examples:
 - ▶ Purchasing equipment
 - ▶ Building a new office
 - ▶ Prepaid insurance
- Accounting rule:
 - 1 Capitalize the CAPEX as an Asset (Cost Principle).
 - 2 Expense the Capitalized Asset over multiple periods (Matching Principle).
 - 3 The process of allocating the cost of the asset over its useful life is called depreciation.

*Note: We say "Capitalized" when an expenditure is recorded as an asset instead of an expense.

OPEX vs CAPEX: Summary

- OPEX, for recurring costs, is expensed immediately.
- CAPEX, for long-term investments, is capitalized as an asset and expensed over multiple periods.

Example: CAPEX

Suppose we purchase equipment for \$10M, with an expected useful life of 5 years. Our company prepares financial statements on Dec 31.

Question	Answer
Will the asset be used to generate revenues over 5 years?	_____
Will it be capitalized as a long-term asset when purchased?	_____
Will expenses be recognized over 5 years?	_____
Will the value of the asset decrease over time?	_____
If depreciation is distributed equally, how much per year?	_____

Q1. Which of the following expenditures is capitalized as an asset rather than expensed immediately?

- (a) This month's rent for the office
- (b) Wages paid to employees for hours worked this month
- (c) Purchase of a delivery truck to be used for 6 years
- (d) This month's electricity bill

Answer: _____

Q2. On Jan 1, a company pays \$36K cash for a machine with a useful life of 4 years and no residual value. Depreciation is distributed equally over the 4 years.

- Amount recorded as an asset on Jan 1: _____
- Expense recognized in the year of purchase: _____
- Total cost (accumulated) expensed by the end of Year 2: _____

Depreciation

The process of allocating the cost of a long-term, tangible asset over its useful life.

- Depreciation expense is recorded on the income statement.
- Depreciation expense is cumulated in the accumulated depreciation account.
- Accumulated depreciation decreases the carrying value of the asset.

Carrying Value (Book Value)

Carrying Value or Book Value

The value of an asset reported on the balance sheet.

- Assets are recorded at their acquisition cost.
- Carrying value of assets are adjusted (e.g., depreciation) over the asset's useful life.

Depreciation Expense and Accumulated Depreciation

Depreciation Expense (DepExp, Expense)

The amount of the tangible asset's cost that is allocated to the current accounting period.

Accumulated Depreciation (AccDep, Contra Asset, xA)

The total amount of depreciation expense that has been recorded against the asset since it was acquired.

Contra Asset (xA)

- An account that is used to reduce the value of an asset.
- It is recorded on the balance sheet as a contra asset account (xA).

Accumulated Depreciation (xA)

- It is used to reduce the value of PPE.
- It is recorded on the balance sheet, right after PPE.
- The initial book value less accumulated depreciation is the carrying value of the asset.

Let's go back to the previous example: Suppose we purchase equipment for **\$10M**, with an expected useful life of 5 years. Our company prepares financial statements on Dec 31.

Now let's prepare the journal entries on:

Jan 1, 2031:

_____	_____
_____	_____

Dec 31, 2031:

_____	_____
_____	_____

At the end of 2031,

- The depreciation expense is _____.
- The accumulated depreciation is _____.
- The carrying value of the asset is _____.

At the end of Year 1

PPE (at Cost)	_____
Less: Accum.Dep.	_____
PPE, net	_____

Journal entries on:

Dec 31, 2032:	Depreciation Expense (+E)	_____
	Accumulated Depreciation (+xA, -A)	_____

At the end of 2032,

- The depreciation expense is _____.
- The accumulated depreciation is _____.
- The carrying value of the asset is _____.

At the end of Year 2

PPE (at Cost)	_____
Less: Accum.Dep.	_____
PPE, net	_____

Suppose we purchase equipment for **\$10M**, with an expected useful life of 5 years. Our company prepares financial statements on Dec 31.

	Purchased	Depreciation Expense	Accumulated Depreciation	Carrying Value
Jan 1, 2031	_____			_____
Dec 31, 2031		_____	_____	_____
Dec 31, 2032		_____	_____	_____
Dec 31, 2033		_____	_____	_____
Dec 31, 2034		_____	_____	_____
Dec 31, 2035		_____	_____	_____

- \$2M is the depreciation expense for every year.
- Depreciation expense is cumulated over the years.
- Carrying value of the asset is the remaining value of the asset at the end of the year.

Practice: Depreciation Expense and Accumulated Depreciation

Q1. Which statement about Accumulated Depreciation is correct?

- (a) It is an expense reported on the income statement.
- (b) A contra asset account that reduces the carrying value of PPE on the balance sheet.
- (c) It is reset to zero at the end of every year.
- (d) It increases the carrying value of PPE each year.

Answer: ____

Q2. On Jan 1, 2031, a company buys equipment for \$60K with a useful life of 5 years and no residual value. Depreciation is distributed equally. The fiscal year ends Dec 31.

- Depreciation Expense for 2032: _____
- Accumulated Depreciation at Dec 31, 2032: _____
- Carrying value at Dec 31, 2032: _____

Table of Contents

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- 4 Accrual Adjustments
- 5 Illustration - Noodlecake
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 - Adjusting Journal Entries (Deferrals)
 - Adjusting Journal Entries (Accruals)
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 - Adjusted Trial Balance
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 - Post-Closing Trial Balance
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Adjustments

- Adjustment journal entries (AJEs) are needed at the end of each reporting period to ensure that all of the accounts (A,L, SHE, R, and E) have the correct balance.
- Adjustments are required because of mismatch between the timing of the recognition of revenues or expenses and the timing of the payment of cash.
- Adjustments should be carefully checked at the end of each reporting period.

To figure out how much to adjust, we need to compare:

- where we were before the adjustment.
- where we are supposed to be after the adjustment.

EX. Adjustment to Prepaid Rent:

- Paid \$7,200 for September, October, and November's rent in advance.
- Recorded as Prepaid Expense (Asset!) initially.

How much do we need to adjust at the end of the september?

- Where we were before the adjustment: _____ .
- Where we are supposed to be after the adjustment: _____ .
→ We need to adjust _____ .

Deferral Adjustments

Adjustments required because REV and EXP are deferred to a future period while cash is paid/received earlier.

Examples:

Type	What is Deferred?
Deferred revenues (L)	Revenues
Supplies (A)	Supplies Expense
Prepaid expenses (A)	Prepaid Expense

Adjustments to Deferred Revenues

- ABC corp. collected cash in January and delivered smartphones in February.

January:

February (Adjustment Journal Entry):

Due to the adjustment in February,

- The balance of Deferred Revenues becomes **\$0**.
- \$10K of Deferred Revenues are recognized as Sales Revenues.

Adjustments to Supplies

- ABC corp. purchased supplies for \$2K in January and used the half of them in February.

January:

February (Adjustment Journal Entry):

Due to the adjustment in February,

- The balance of Supplies becomes **\$1K**.
- \$1K of Supplies are recognized as Supplies Expense.

Adjustments to Prepaid Expenses

- ABC corp. purchased a 12-months insurance plan (\$12K) at the beginning of January.

January 1:

January 31 (Adjustment Journal Entry):

Due to the adjustment in January,

- The balance of Prepaid Insurance becomes **\$11K**.
- \$1K of Prepaid Insurance are recognized as Insurance Expense.

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- 4 Accrual Adjustments**
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 - Adjusting Journal Entries (Deferrals)
 - Adjusting Journal Entries (Accruals)
 - T-accounts
 - Adjusted Trial Balance
 - Financial Statements
 - Closing Process
 - Post-Closing Trial Balance
- 6 Conclusion of the Process

Accrual Adjustments

Adjustments required because REV and EXP are recognized in the current period while cash will be paid/received later.

Examples:

Variable Name	What is Accrued?
Interest Receivable (A)	Interest earned but not yet received
Wages Payable (L)	Wages incurred but not yet paid
Income Taxes Payable (L)	Income taxes incurred but not yet paid

Adjustments to Interest Receivable

- ABC corp. earned \$1K of interest in January but did not receive the cash until February.

January (Adjustment Journal Entry):

February:

Due to the adjustment in January,

- ▶ The balance of Interest Receivable becomes **\$1K**.
- ▶ There is no cash received in January, but interest is earned.
- ▶ Accountants should carefully adjust the balance of Interest Receivable to match the interest earned.

Adjustments to Wages Payable

- ABC corp.'s employees worked for the firm in January and received \$5K in February.

January (Adjustment Journal Entry):

February:

Due to the adjustment in January,

- ▶ The balance of Wages Payable becomes **\$5K**.
- ▶ There is no cash paid in January, but wages are incurred.
- ▶ Accountants should carefully adjust the balance of Wages Payable to match the wages incurred.

Risks related to Accrual Adjustments

- There is no cash inflows/outflows when accrual adjustments are made.
- It is easy to make mistakes by not making adjustments when they should be made.
- Accountants should check all assets and liability balances at the end of the reporting period to ensure they are correct.

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- 5 Illustration - Noodlecake
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 - Post-Closing Trial Balance
- 6 Conclusion of the Process

Previous Transactions (Ch2 and Ch3)

- ① Ch2-(h): Noodlecake receives supplies costing \$600 on account.

- ② Ch2-(d): Noodlecake purchases and receives \$9,600 in computers, printers, and desks, in exchange for its promise to pay \$9,600 at the end of the month.

- ③ Ch2-(g): Noodlecake receives the \$9K of app game code ordered in (f), pays \$4K cash, and promises to pay the remaining \$5K next month.

- ① Ch3-(f): On September 1, Noodlecake paid \$7,200 in advance for September, October, and November rent.

- ② Ch3-(b): Noodlecake issued three \$100 gift cards at the beginning of September.

Noodlecake – Adjusting Journal Entries (Deferrals)

- ❶ Of the \$600 in supplies previously received, \$250 remain on hand at September 30.

- ❷ Three months of rent were prepaid on September 1 for \$7,200, but one month has now expired, leaving only two months prepaid at September 30.

- ③ The computer equipment (\$9,600), which was estimated to last two years, has now been used for one month, representing an estimated expense of \$400.

- ④ The app software developed for Noodlecake (\$9K), estimated to have three years of usefulness, has now been used for one month at an estimated expense of \$250.

- ⑤ Noodlecake customers redeemed \$100 of previously issued gift cards as payment for game downloads.

Noodlecake – Adjusting Journal Entries (Accruals)

- 6 Noodlecake provided \$3,250 of consulting services to other app developers in September, with payment to be received in October.

- 7 Noodlecake owes \$1,950 of wages to employees for work done in the last six days of September.

- 8 Noodlecake has not paid or recorded the \$100 interest that it owes for this month on its note payable.

- 9 Noodlecake pays income tax at an average rate equal to 20 percent of the company's income before taxes. Income Tax Expense for this month is \$200.

T-accounts

- In Ch2, we went through transactions in August.
- In Ch3, we went through transactions in September.
- In Ch4, we are still in September.
- So far, we went through adjustment journal entries required at the end of September.
- We now need to post them to the T-accounts.
- We will start from the T-accounts in Ch3.
- Two types of T-accounts:
 - ▶ Type 1: T-accounts for those NOT affected by AJEs (e.g., Cash)
 - ▶ Type 2: T-accounts for **those affected by AJEs** (e.g., Deferred Revenues)

Cash (Type 1)

Unadj. Bal. 16,900

Adj. Bal. 16,900

Deferred Revenues (Type 2)

Unadj. Bal. 300

AJE 100

Adj. Bal. 200

Transaction 1

Of the \$600 in supplies previously received, \$250 remain on hand at September 30.

Supplies Expense (+E, -SE)	350
Supplies (-A)	350

Supplies Expense (E)

Unadj. Bal. 0

350 (AJE)

Adj. Bal. 350

Supplies (A)

Unadj. Bal. 600

350 (AJE)

Adj. Bal. 250

Transaction 2

Three months of rent were prepaid on September 1 for \$7,200, but one month has now expired, leaving only two months prepaid at September 30.

Rent Expense (+E, -SE)	2,400
Prepaid Rent (-A)	2,400

Rent Expense (E, SE)

Unadj. Bal. 0

2,400 (AJE)

Adj. Bal. 2,400

Prepaid Rent (A)

Unadj. Bal. 7,200

2,400 (AJE)

Adj. Bal. 4,800

Transaction 3

The computer equipment (\$9,600), which was estimated to last two years, has now been used for one month, representing an estimated expense of \$400.

Depreciation Expense (+E, -SE)	400
Accum. Dep. (+XA, -A)	400

Depreciation Expense (E)

Unadj. Bal. 0

400 (AJE)

Adj. Bal. 400

Accum. Dep. (XA)

Unadj. Bal. 0

400 (AJE)

Adj. Bal. 400

Equipment (A)

Unadj. Bal. 9,600

Adj. Bal. 9,600

Transaction 4

The app software developed for Noodlecake (\$9K), estimated to have three years of usefulness, has now been used for one month at an estimated expense of \$250.

Amortization Expense (+E, -SE)	250
Accum. Amortization (+XA, -A)	250

Amortization Expense (E)

Unadj. Bal. 0

250 (AJE)

Adj. Bal. 250

Accum. Amortization (XA)

Unadj. Bal. 0

250 (AJE)

Adj. Bal. 250

Software (A)

Unadj. Bal. 9,000

Adj. Bal. 9,000

Transaction 5

Noodlecake customers redeemed \$100 of previously issued gift cards as payment for game downloads.

Deferred Revenues (-L)	100
Sales Revenues (+R, +SE)	100

Revenues (R)

Unadj. Bal. 12,000

100 (AJE)

Adj. Bal. 12,100

Deferred Revenues (L)

Unadj. Bal. 300

100 (AJE)

Adj. Bal. 200

Transaction 6

Noodlecake provided app development services of \$3,250 to a customer at the end of September. The customer will pay in October.

Accounts Receivable (+A)	3,250
Service Revenue (+R, +SE)	3,250

Accounts Receivable (A)

Unadj. Bal. 500

3,250 (AJE)

Adj. Bal. 3,750

Service Revenue (R)

Unadj. Bal. 0

3,250 (AJE)

Adj. Bal. 3,250

Transaction 7

Noodlecake owes \$1,950 of wages to employees for work done in the last six days of September.

Wages Expense (+E, -SE)	1,950
Wages Payable (+L)	1,950

Wages Expense (E)

Unadj. Bal. 7,800

1,950 (AJE)

Adj. Bal. 9,750

Wages Payable (L)

Unadj. Bal. 0

1,950 (AJE)

Adj. Bal. 1,950

Transaction 8

Noodlecake has not paid or recorded the \$100 interest that it owes for this month on its note payable.

Interest Expense (+E, -SE)	100
Interest Payable (+L)	100

Interest Expense (E)	
Unadj. Bal. 0	
<u>100 (AJE)</u>	
Adj. Bal. 100	

Interest Payable (L)	
	Unadj. Bal. 0
	<u>100 (AJE)</u>
	Adj. Bal. 100

Transaction 9

Noodlecake pays income tax at an average rate equal to 20 percent of the company's income before taxes. Income Tax Expense for this month is \$200.

Income Tax Expense (+E, -SE)	200
Income Tax Payable (+L)	200

Income Tax Expense (E)	
Unadj. Bal. 0	
<u>200 (AJE)</u>	
Adj. Bal. 200	

Income Tax Payable (L)	
	Unadj. Bal. 0
	<u>200 (AJE)</u>
	Adj. Bal. 200

Unadjusted Trial Balance to Adjusted Trial Balance

- Update accounts that are affected by AJEs.

Unadjusted Trial Balance		
Account Title	Debit (\$)	Credit (\$)
Cash	16,900	
Accounts Receivable	500	
Supplies	600	
Prepaid Rent	7,200	
Equipment	9,600	
Logo & Trademarks	300	
Software	9,000	
Accounts Payable		10,700
Deferred Revenues		300
Notes Payable		20,000
Common Stock		10,000
Retained Earnings		0
Sales Revenue		12,000
Wages Expense	7,800	
Utilities Expense	600	
Advertising Expense	500	
Total		

Adjusted Trial Balance		
Account Title	Debit (\$)	Credit (\$)
Cash	16,900	
Accounts Receivable	<u>3,750</u>	
Supplies	<u>250</u>	
Prepaid Rent	<u>4,800</u>	
Equipment	9,600	
Accum. Dep.		<u>400</u>
Logo & Trademarks	300	
Software	9,000	
Accum. Amort.		<u>250</u>
Accounts Payable		10,700
Deferred Revenues		<u>200</u>
Notes Payable		20,000
Wages Payable		<u>1,950</u>
Interest Payable		<u>100</u>
Income Tax Payable		<u>200</u>
Common Stock		10,000
Retained Earnings		0
Sales Revenue		<u>12,100</u>
Service Revenue		<u>3,250</u>
Wages Expense	<u>9,750</u>	
Rent Expense	<u>2,400</u>	
Utilities Expense	600	
Advertising Expense	500	
Supplies Expense	<u>350</u>	
Depreciation Expense	<u>400</u>	
Amortization Expense	<u>250</u>	
Interest Expense	<u>100</u>	
Income Tax Expense	<u>200</u>	
Total		

Relationship between Financial Statements

Noodlecake, Inc.
Income Statement
For the Month Ended September 30, 2025

Revenues

Sales Revenue	\$12,100
Service Revenue	3,250

Total Revenues **15,350**

Expenses

Wages Expense	\$9,750
Rent Expense	2,400
Utilities Expense	600
Advertising Expense	500
Supplies Expense	350
Depreciation Expense	400
Amortization Expense	250
Interest Expense	100
Income Tax Expense	200

Total Expenses **14,550**

Net Income

\$800

Noodlecake, Inc.
Statement of Retained Earnings
For the Month Ended September 30, 2025

Beg. Retained Earnings	\$0
+) Net Income	800
-) Dividends	0

End. Retained Earnings **\$800**

Noodlecake, Inc.
Balance Sheet
As of September 30, 2025

Assets

Cash	\$16,900
Accounts Receivable	3,750
Supplies	250
Prepaid Rent	4,800

Total Current Assets **\$25,700**

Equipment	
Less: Accum. Dep.	
Equipment, net	9,200
Software	
Less: Accum. Amort.	
Software, net	8,750
Logo & Trademarks	300

Total Assets **\$43,950**

Liabilities

Accounts Payable	\$10,700
Deferred Revenues	200
Wages Payable	1,950
Income Tax Payable	200
Interest Payable	100

Total Current Liabilities **\$13,150**

Notes Payable	20,000
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Total Liabilities **\$33,150**

Shareholders' Equity

Common Stock	\$10,000
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Retained Earnings **800**

Total Shareholders' Equity **\$10,800**

Total Liabilities & Equity **\$43,950**

- I/S accounts reflect the financial effects of transactions in the current period.
- I/S accounts are temporary.

- Paying dividends is cash distribution to shareholders.
- Dividend is a temporary account.

- B/S accounts reflect the financial effects of transactions in all periods.
- B/S accounts are permanent.

Retained Earnings Equation

$$\text{End. RE} = \text{Beg. RE} + \text{Net Income} - \text{Dividends}$$

Closing Process: Close all temporary accounts.

- Revenues increase Retained Earnings.
- Expenses decrease Retained Earnings.
- Dividends decrease Retained Earnings.

In the rest of the packet:

- We briefly go over the closing process for Revenues and Expenses.
- We do not cover the closing process for Dividends.
- We do not cover the closing journal entries for all temporary accounts.

Income Statement Equation

Net Income = Revenues - Expenses

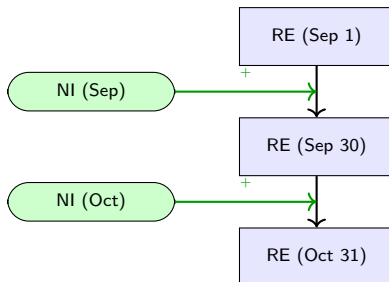
- Revenues = $12,100 + 3,250 =$ _____
- Expenses = $9,750 + 2,400 + 600 + 500 + 350 + 400 + 250 + 100 + 200 =$ _____
- Net Income = $15,350 - 14,550 =$ _____
- Revenue and Expense accounts are closed to Retained Earnings.
 - ▶ Revenue and Expense accounts are initialized to ____.
 - ▶ Retained Earnings are increased by _____.

Closing Process for Revenues and Expenses

Does it make sense to recognize **Sep**'s R & E once again in **Oct**?

- **No.**
- These accounts should be **initialized with 0**.
- Their **beginning balances** in Oct should be **0**.
- Sep's R & E are reflected in **RE** through **NI**.

Temporary account!



Permanent account!

Post Closing Trial Balance

- REV (15,350) and EXP (14,550) accounts are closed to Retained Earnings (800).

<u>Adjusted Trial Balance</u>		
Account Title	Debit (\$)	Credit (\$)
Cash	16,900	
Accounts Receivable	3,750	
Supplies	250	
Prepaid Rent	4,800	
Equipment	9,600	
Accum. Dep.		400
Logo & Trademarks	300	
Software	9,000	
Accum. Amort.		250
Accounts Payable		10,700
Deferred Revenues		200
Notes Payable		20,000
Wages Payable		1,950
Interest Payable		100
Income Tax Payable		200
Common Stock		10,000
<u>Retained Earnings</u>		<u>0</u>
Sales Revenue		<u>12,100</u>
Service Revenue		<u>3,250</u>
Wages Expense	<u>9,750</u>	
Rent Expense	<u>2,400</u>	
Utilities Expense	600	
Advertising Expense	500	
Supplies Expense	<u>350</u>	
Depreciation Expense	<u>400</u>	
Amortization Expense	<u>250</u>	
Interest Expense	<u>100</u>	
Income Tax Expense	<u>200</u>	
Total		

<u>Post Closing Trial Balance</u>		
Account Title	Debit (\$)	Credit (\$)
Cash	16,900	
Accounts Receivable	3,750	
Supplies	250	
Prepaid Rent	4,800	
Equipment	9,600	
Accum. Dep.		400
Logo & Trademarks	300	
Software	9,000	
Accum. Amort.		250
Accounts Payable		10,700
Deferred Revenues		200
Notes Payable		20,000
Wages Payable		1,950
Interest Payable		100
Income Tax Payable		200
Common Stock		10,000
<u>Retained Earnings</u>		<u>800</u>
Sales Revenue		<u>0</u>
Service Revenue		<u>0</u>
Wages Expense	<u>0</u>	
Rent Expense	<u>0</u>	
Utilities Expense	<u>0</u>	
Advertising Expense	<u>0</u>	
Supplies Expense	<u>0</u>	
Depreciation Expense	<u>0</u>	
Amortization Expense	<u>0</u>	
Interest Expense	<u>0</u>	
Income Tax Expense	<u>0</u>	
Total		

In total, we check trial balances three times.

- Trial balance before making adjustments (Ch 3).
- Trial balance after making adjustments (Ch 4).
- Trial balance after closing temporary accounts (Ch 4).

Table of Contents

- 1 Recall: Cost Principle and Matching Principle
- 2 OPEX vs CAPEX
 - Two Types of Expenditures: OPEX and CAPEX
 - Depreciation for CAPEX
- 3 Deferral Adjustments
- 4 Accrual Adjustments
- 5 Illustration - Noodlecake
 - Previous Transactions (Ch2 and Ch3)
 - Adjusting Journal Entries (Deferrals)
 - Adjusting Journal Entries (Accruals)
 - T-accounts
 - Adjusted Trial Balance
 - Financial Statements
 - Closing Process
 - Post-Closing Trial Balance
- 6 Conclusion of the Process

- ➊ Analyzing transactions (Ch2)
- ➋ Recording journal entries (Ch2)
- ➌ Posting to T-accounts (Ch2)
- ➍ Unadjusted trial balance (Ch3)
- ➎ Adjustments (accruals and deferrals) (Ch4)
- ➏ Adjusted trial balance (Ch4)
- ➐ Income statement
- ➑ Statement of retained earnings
- ➒ Balance sheet
- ➓ Closing process (Ch4)
- ➑ Post-closing trial balances (Ch4)

*Ch.No. refers to the chapter where the topic is first introduced.